

ROSE HILL FINANCIAL ACCOUNTS POLICY

This policy supersedes all previous policies related to the Rose Hill Cemetery financial accounts.

1. Operating Accounts: Checking, Savings, and CDs

- a. The checking account is used for the direct inflow and outflow of income and expenses.
- b. The savings account is used for excess reserves that earn interest; short-term CDs may also be used for higher interest.
- c. Combined balances in checking, savings, and CDs should be sufficient to cover one to two years of expenses in the absence of income.
- d. Bank cards (credit or debit) and automatic recurring electronic payments must be approved by the Board and reviewed annually.

2. Quasi-Endowment Fund (Long-Term Investment Pool)

- a. The Affiliated Investment Pool (AIP) for Rose Hill Cemetery, managed by the Community of Christ Investment Manager, is treated by the Board as a quasi-endowment.
- b. The Board establishes the annual distribution from this fund using standard fiduciary practices for endowments, such as a small percentage of an average market value.
- c. Withdrawals beyond the annual distribution may occur only if authorized under Item 4b or specially approved by the Lamoni congregation as the overseeing body.

3. Permanent Endowment Fund

- a. The Lamoni Rose Hill Cemetery Endowment, with the South Central Iowa Community Foundation (SCICF), is a formal endowment with an annual distribution set by SCICF.
- b. The Board may choose to receive all or part of the annual distribution—but not more.
- c. Donations made directly to the endowment are not considered Rose Hill income and are excluded from the operating budget and accounts.

4. Annual Allocations: Endowment and Quasi-Endowment Funds

- a. Deposits: Fifty percent of total lot sale revenue, minus any lots sold back to the cemetery that year, must be deposited into one or both funds the following year.
- b. Withdrawals: To prioritize endowment growth, the Board may take an amount equal to the endowment's annual distribution from the quasi-endowment instead.
- c. Untaken Distributions: The Board may withdraw less than the combined annual distributions to promote growth of either fund, but unused portions do not carry over.
- d. Adjustments: If the combined value of the two funds declines for three consecutive years—excluding any specially approved withdrawals—the Board must adjust distributions and transfers to support long-term growth.

RATIONALE – Replaces an older, less comprehensive Financial Accounts policy to include the new endowment fund, use of CDs for reserves, and alignment with proposed bylaw changes.